

Marketing Management

AQF Level 8

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First Assessment – Market Analysis:

‘A Social Enterprise for Value-based Investing and Social Capital Creation on Free Capital

Markets’

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Executive Summary

The [Company] specialises in socially innovative investments, using a combination of frameworks and models to make informed decisions. Its technology-driven platform distributes innovation, reduces barriers to entry, and automates administration processes. The [Company] targets specific behaviour segments and innovation-adopter categories to maximise the likelihood of capturing an appropriate behavioural segment. Additionally, it positions itself as a specialist in a particular asset class or geographic region. The [Company] utilises dollar cost averaging into cryptocurrency and employs a website that automatically syncs with an equity portfolio to provide insights without manual input. The target market is segmented based on the five social innovation adopter categories, with a positioning recommendation that leverages the [Company]'s technology-driven approach to appeal to early adopters and opinion leaders within the segment (Rogers, 1983).

Table of Contents

Executive Summary	1
1 Introduction	3
2 Market situation analysis	3
3 Market segmentation analysis	3
4 Target market recommendation	4
5 Positioning recommendation	4
6 Conclusion	4
References	5
Appendices 1 - 9:	6

1 Introduction

The purpose of this market situational analysis is to evaluate the current state of the market and identify opportunities for growth for this [Company], which is dedicated to developing innovative and sustainable solutions to complex societal issues such as climate change (Basil et al., 2019).

Management wants to benefit networks of local and international communities, create ethical value, and improve this bottom line through innovation. It's important to understand the economic and social factors that may impact its success, such as 75% of Australian households having debt and 30% servicing a total debt 3+ times their annual disposable income, as reported by the Australian Bureau of Statistics (2022) in 2019-2020. This highlights the economic pressures consumers may be facing, which could affect their spending and, in turn, their corporate revenue. Additionally, the European Commission has set a goal to reduce school drop-out rates below 10% and to have a minimum of 40% of 30-34-year-olds completing university education by 2020, presenting an opportunity for the [Company] to exert social pressure on policymakers and government legislators to promote progress on decarbonisation and provide financial literacy education to consumers (Commission et al., 2013). The European Union's 2020 Social Innovation Strategy targets objectives that are critical to assisting hybrid organisational models in supporting an innovative, inclusive, and sustainable economy, such as reducing greenhouse gas emissions and increasing the employment rate, which may present opportunities for the [Company] to grow. By understanding these factors, management can make informed and strategic decisions to move the [Company] forward and achieve its mission (Andreasen, 1994).

1.1 A comparison of B2B and B2C markets (Table 1).

The B2C market is an ideal fit for this [Company], as it specialises in providing financial services and products directly to consumers. This allows the [Company] to reach a wide range of customers and provide them with easy-to-use and accessible services that cater to their specific needs and

preferences. As a B2C business, the [Company] can benefit from short sales cycles, simple customer relationships and a focus on providing low-cost and high-value products. Furthermore, the [Company] can leverage on online channels, social media and mobile technologies to reach and engage customers. This way the [Company] can build a strong customer base that is loyal and engaged with the [Company]'s brand and services.

2 Market situation analysis

A market situation analysis was performed using three complementary approaches: the 7C's of social marketing, the Motivation-Opportunity-Ability (MOA) model, and a SWOT analysis. The 7C's framework considers the needs of both the target audience and the organization, ensuring that campaigns are effective, sustainable and impactful (Kotler and Zaltman, 1971). The Motivation-Opportunity-Action (MOA) model helps understand how customer needs and desires drive behaviour change (Binney et al., 2003). The SWOT analysis determines the critical internal and external factors that impact an organisation's growth potential. These frameworks cover both the internal and external dimensions of the organisation's environment, providing marketing managers with the necessary information to make informed, evidence-based decisions that capture trends, address issues facing the business, and create value for consumers.

2.1 7-C's Analysis

Environmental factors refer to external forces that are outside of the organisation's control.

Marketing managers use research and intelligence-gathering methods to understand both macro and micro external influences and adapt their strategies to new opportunities and threats (Binney et al., 2003). These external influences impact the organisation's ability to build and maintain loyal relationships with target consumers (Armstrong, 2021).

2.1.1 Company ([Table 7.](#))

The [Company], a socially responsible investment firm, has been growing for over 2 years and is currently in the “Prototypical” stage of the Six Stages of Innovation Spiral (Murray et al., 2010). While it has not yet completed the necessary milestones for a marketing plan, it is important to note that marketing planning is crucial for connecting marketing strategy with the business plan and driving future revenue growth. Despite being in an early stage, the [Company] has outperformed the industry benchmark by a significant margin in the current financial year. Specifically, it has achieved a 30.21% return on the Australian Stock Exchange with a statistically significant withdrawal rate of 0.04%, compared to the ASX200’s return of 13.46%. A significant strong financial performance qualifies the firms philosophy and highlights the potential for continued growth and success for the [Company], and the importance of developing a comprehensive marketing strategy to capitalize on this potential

2.1.2 Customers: Applying the MOA model to customer needs and decision-making processes ([Table 3](#)).

The MOA model is a framework that describes the behaviours and decision-making processes of individuals engaging in socially responsible investing or other forms of social innovation. This model is closely linked to the five social innovation adopter categories: Innovators, Early Adopters, Early Majority, Late Majority, and Laggards (Binney et al., 2003; Rogers, 1983).

Innovators are highly motivated to seek out and embrace new ideas and opportunities, and are often the first to invest in socially responsible ventures. Early Adopters are also motivated to seek out new ideas, but tend to be more cautious and invest in ventures with a proven track record (Rogers, 1983). The Early Majority invest in ventures with a strong reputation and proven track record, driven by the desire to be part of a larger trend or movement. The Late Majority invest in popular and widely accepted ventures driven by social pressure and conformity. Laggards are resistant to change and tend to stick with familiar options, and are less likely to invest in socially responsible ventures.

These MOA characteristics and adopter categories guide and inform the decision-making process of individuals engaging in socially responsible investing and help understand their behaviour and choices in adopting new practices or ideas.

2.1.3 Climate / Environment (Table 6)

The current political and economic context is favourable for the growth of SRI. The increasing awareness of the impact of climate change and growing concern about social issues such as inequality and poverty have led to increased demand for SRI products. Additionally, the low-interest rate environment has led to increased demand for alternative investments such as SRI.

The [Company]'s macro-environmental influences are external factors that affect it. Economic factors such as changes in income and higher interest rates are pressuring consumers to spend less.

According to the Australian Bureau of Statistics (2022), 75% of Australian households had debt in 2019-2020, with 30% of households servicing a total debt 3+ times their annual disposable income, a

significant increase from 24% in 2010. Additionally, the distribution of wealth is less equal than income distribution. These economic factors may be an advantage to the [Company] due to its meagre cost of entry. The European Commission's 2020 aim to reduce school drop-out rates and increase university education, as well as their focus on decarbonisation and support for R&D and innovation, may also present opportunities for the [Company] to grow (Commission et al., 2013).

2.1.4 Collaborators & Complementors (Table 8)

Collaboration involves building partnerships and working with key stakeholders to achieve shared social goals (Andreasen, 2002). Management have identified several potential collaborators and complementors for the [Company]. Collaborators include organisations that share similar goals and values, such as non-profits and government agencies working towards sustainable solutions. These organisations can provide valuable resources and support in achieving its mission of creating innovative and sustainable solutions to complex societal issues.

Complementors, on the other hand, are companies or organisations that offer complementary products or services to the [Company] (Andreasen, 2002). For example, companies that specialise in renewable energy or sustainable transportation can be potential complementors as they offer solutions that align with [Company] goals and can potentially increase the value of its products and services. This market analysis also showed that there are many players in the market who are interested in working with companies that have a sustainable profile, and this is a good opportunity for the [Company] to establish strategic partnerships and collaborations in the future.

2.1.5 Competitors (Table 9)

The [Company]'s competitors in the SRI market include larger asset management firms that offer SRI-focused investment products. The [Company] differentiates itself by offering a more niche range

of SRI-focused investment products and by having a stronger commitment to sustainability. In addition to these direct competitors, barriers to entry in the market include limitations with change agents and socio-economic factors that can reduce the effectiveness of interventions (Rogers, 1983). The [Company] aims to overcome these barriers through the use of digital technologies and by selecting change agents who are homophilous towards potential clients without eroding the change potential for the client.

2.2 SWOT analysis

A SWOT analysis (Strengths, Weaknesses, Opportunities and Threats), a bottom-up (e.g. micro) approach, determines the critical internal/external factors that impact an organisation's growth potential.

3 Market segmentation analysis

Market segmentation involves analysing and dividing the market into distinct groups of buyers with various needs, attributes, or behaviours and opportunities to meet their needs with targeted products (Basil et al., 2019). The [Company] segments its market based on adopter categories and technology adoption level of the target audience (Rogers, 1983). Innovators and Early Adopters, who are open to new technology and willing to take risks, are targeted by offering them more advanced solutions. The Early Majority, Late Majority, and Laggards, who have a lower level of technology adoption, are targeted through education and persuasion. The target market is environmentally conscious individuals with high disposable income, who value products and services that align with their values. The segmentation also takes into account the potential negative consequences of digital attention economy on decision-making processes (Preester, 2021).

4 Target market recommendation

Market targeting identifies the broader population to determine who would benefit from behaviours and divide them into behaviour segments (Basil et al., 2019); Nadube and Didia, 2018). From a social-cognitive perspective, the innovation-exchange process is an information-seeking and information-processing pursuit, where the acquisition of information reduces the uncertainty surrounding the causal relationships of the concept (Rogers, 1983).

The target market recommendation for the [Company] is to focus on the Early Adopters and Early Majority segments of the population, as they are typically more open to new and innovative technologies and are likely to invest in and test new solutions (Rogers, 1983). Additionally, the [Company] should target specific industries or sectors that are facing challenges that can be addressed by the technology-driven approach, such as automating back-end processes like finance. This allows the [Company] to tailor its messaging and positioning to specific pain points and needs within those industries, increasing the chances of success.

Additionally, targeting geographic locations or regions experiencing high growth and high adoption rate of technology can indicate a strong potential customer base for the technology-driven approach. The [Company] should balance homophily and heterophily to maximize adoption rate and gain market share across peer networks (Sahin, 2006). By using a technology-driven approach, the [Company] can effectively target specific segments of the market that are most likely to benefit from its solutions, increasing the chances of success.

5 Positioning recommendation

The positioning recommendation for the B2B market would be to position the [Company] as a leader in utilising technology to enhance cognitive processing and optimise decision-making in the context of the digital attention economy (Rogers, 1983).

The [Company] should position itself as a leader in utilizing technology to enhance cognitive processing and optimize decision-making in the digital attention economy. They should position themselves as a market disruptor that invests in emerging trends on global equity markets, with a focus on delivering strong risk-adjusted returns to clients through a proprietary investment strategy and risk management approach. By highlighting the use of psycho-analytical theories such as cognitive dissonance and cognitive economy, the [Company] can position itself as a solution to the negative consequences of the digital attention economy (Binney et al., 2003). The [Company] can streamline and automate business processes, such as advanced portfolio management tools and cognitive psychology-based mobile app organization, to make it easy for clients to work with the [Company]. They can tailor solutions to meet the specific needs and goals of individual clients by providing customised investment strategies and risk management plans based on clients' risk tolerance and financial goals. The [Company] can ensure that their products are reliable and of good quality by implementing strict compliance and quality control measures and providing transparent and accurate reporting on investments and performance. Additionally, they can leverage cutting-edge technology to enhance decision-making and maximize utility for clients and highlight

their commitment to using technology for not only efficiency but also for driving positive social change in their target market, such as decarbonization of global markets.

6 Conclusion

The [Company] uses technology to enhance decision-making and optimize returns, differentiating itself in the socially responsible investing market. Targeting innovative individuals, it leverages psycho-analytical theories and provides streamlined, automated processes and tailored solutions to meet clients' needs. It also emphasises transparency and performance while promoting positive social change through decarbonisation. Its unique approach positions it well in the market for socially innovative companies.

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Appendix 1:

[\[Return to 2.1\]](#)

Table 1. B2B VS. B2C analysis and preference/reference to solution.

Diffusion of Innovation model (Rogers, 1983)		
Decision-making		
Comparison	B2C	B2B
Pros	+ High volume, low price + Deliver a personalised digital approach. + Encourage self-reliance. + Convenient, educational, practical + Desires and benefits + Long-term capital gains / secondary income + Short-term goals + Short sales cycle + B2C markets drive innovation greater than B2B markets	+ Low volume, high price + Interpersonal relationships + Educational efficiency + Evidence-based approach + Encourage prosocial behaviour within an organisation. + Long-term goals + Long sales cycle + A developing country may receive social capital from a developed country. (-) B2B buyers are longer-term buyers
Cons	(-) B2B markets generally more rationale in decision-making process	(-) B2B markets have a more complex decision-making unit (-) B2B products often more complex (-) B2B target audiences smaller than consumer target markets (-) Greater emphasis on personal relationships (-) B2B markets have fewer behavioural and needs-based segments
Application / Proposal	Example 1: One example of the [Company]'s business from a B2C perspective would be an individual who is interested in investing their money in a socially responsible way. The individual may not have extensive	Example 1: One example of the [Company]'s B2B application in the market situation analysis could be in the renewable energy sector. The [Company] could partner with a renewable energy [Company] that is looking to expand

knowledge or experience in this area, but they are motivated by a desire to make a positive impact in the world through their investments. They may also be concerned about their own financial future and want to ensure that their money is being invested in a way that is both profitable and socially responsible.

The [Company] offers a solution for this individual by providing a proprietary investment strategy and risk management approach that focuses on decarbonisation of global markets and delivering strong risk-adjusted returns. They also provide a cognitive psychology-based mobile app that helps to optimise decision-making and streamline the investment process. This makes it easy for the individual to make informed decisions about their investments and monitor their progress in real-time.

Example 2:

Additionally, the [Company] provides tailored investment strategies and risk management plans based on the individual's risk tolerance and financial goals. This helps the individual to feel confident that their money is being invested in a way that aligns with their values and will help them to achieve their financial goals.

Conclusion:

By positioning itself as a market disruptor and building a socially responsible brand image that resonates with innovative individuals, the [Company] is able to reach its target market and provide a unique solution for individuals looking to invest in a socially responsible way. Through its commitment to using technology for positive social change and its focus on decarbonisation of global markets, the [Company] differentiates itself from existing players in the market and offers a compelling solution for the socially conscious individual.

its operations and increase its capacity in the market. By utilising the [Company]'s proprietary investment strategy and risk management approach, the renewable energy company could secure funding for its expansion while also aligning with the [Company]'s socially responsible mission of decarbonisation. The [Company]'s technology-driven approach to decision-making and portfolio management would also provide the renewable energy company with a competitive edge in the market by optimising their investments and returns.

Example 2:

Additionally, the [Company]'s focus on cognitive psychology-based mobile app organization, and advanced portfolio management tools, would make it easy for the renewable energy company to work with the [Company] and manage their investments.

Note: Adapted from Hague, P & Harrison, M 2021, 'Market segmentation in B2B Markets', *B2B International: A*

Merkle Company, viewed 11 January 2022,

<https://www.b2binternational.com/publications/b2b-segmentation-research/>.

Appendix 2:

[\[Return to 2.1.1\]](#)

Table 2. Strengths, Weaknesses, Opportunities and Threats analysis.

Strengths	Weaknesses
• Proprietary investment strategy based on co-creation and risk-management approach based on behaviour. • Academic and experienced management team. • Flexibility to adapt to changing market conditions. • Strong market leading position. • Advanced technology-driven solutions.	• Limited track record and history • Dependence on limited number of essential clients. • Limited geographical diversification. • High volatility: Sensitive to economic downturns. • No brand recognition. • Dependence on key stakeholders for now.
Opportunities	Threats
• Growing demand for investment services, tailored to individual needs and desires. • Worldwide government incentives to promote green energy and decarbonisation. • Advancement in technology applications. • Opportunities to expand in emerging markets. • Developing and contextualising interest in socially responsible investing (SRI) • Opportunity to leverage firms technology capability to expand into new business/product lines. • Capitalise on emerging trends: For example, two critical points from COP27 were (i) the consensus that progress to decarbonise the world's energy markets has stalled and (ii) developing nations will be compensated for climate loss and	• Intense free market competition • Economic downturns have cognitive and emotional costs and dramatically increasing risk of irrational decision-making. • Regulatory and compliance challenges. • Changes in consumer preferences can extinguish customer base. • Political and economic uncertainty/volatility. • Technological changes • Cyber-security risks – This risk is actually managed using the highest tier of security available worldwide: - 2 Biometric login types - 2 NFC keys - 2FA authentication on all connected apps

damage by developed nations who are responsible for the most significant contribution of carbon emissions (Bloomberg, 2022).	- A multi-tiered defence multiplied three-fold across ecosystem of accounts. - Centralised in that all defences horizontally and vertically protect each other and exist solely on the cloud. - Any absence of user for a moment immediately locks whole system, with quick re-starting. - Lockdown button is 3 clicks away from user's phone screen which would prevent anyone from opening device until returned to a physical geographic location that the users designates as 'safe'. - It is not possible to hack this network as it mimics the same security measures used to protect the launch of nuclear weaponry.
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Appendix 3:

[\[Return to 2.1.2.1\]](#)

Table 3: The behavioural influences of consumer behaviours within the Motivation-Opportunities-Action framework.

COMPONENTS	CONCEPT
OVERVIEW OF THEORY	The customer section of the 7C Analysis will be based on the MOA (Motivation, Opportunity, Action) model, which is a framework that can be applied to social markets and guide interventions that may elicit a desired response behaviour (Binney et al., 2003). This model is particularly useful in understanding the decision-making process of its target customers, who are individuals and institutions interested in socially responsible investment options (Andreasen, 1994). Further, the features of the MOA model are strongly associated with the outcomes of the B2B Elements of the Value pyramid (Almquist et al., 2018). Overall, by applying the MOA model to this customer analysis, management is able to understand the motivations and decision-making processes of the target customers, and use this information to guide the marketing strategy and align it with the [Company]'s organizational development (Maibach, 1993). Additionally, management considers how the perceived value outweighs the perceived cost and how the persuasive stage is important in the decision making process. With this understanding, management can develop effective interventions that will increase the likelihood of meeting the market need and delivering competitive consumer value.
MOTIVATION	The first stage of the MOA model is motivation, which refers to the influences that prompt consumers to consider behavior change (Andreasen, 1994). In the case of socially responsible investment, this could include a growing awareness of environmental and social issues, as well as a desire to align

	personal values with investment choices. Additionally, exchange theory suggests that customers make purchase decisions based on the perceived value of a product relative to the costs (Rothschild, 1999). Therefore, consumers are more likely to invest in these services when the perceived value outweighs the perceived cost. Finally, the persuasion stage occurs when consumers form a favorable or unfavorable attitude towards an idea (Rogers, 1983). Furthermore, peers are critical to the movement of information across complex social networks (Rogers, 1993). For example, modelling and imitation are two essential behaviours exhibited by peers of potential future consumers who are currently adopting the idea/product. Hence, the communicated experience of current customers through interpersonal networks is essential for reinforcing the decision-making of prospective consumers at the persuasion stage. Fortunately, primary research in the form of communication network analysis can identify communication structures (i.e. interpersonal relationships) in a system. Communication network analysis categorises individuals into 'cliques' based on their proximity (i.e. communication proximity – the degree to which two individuals have overlapping communication networks) to surrounding network links, with those closest to the individual belonging to the same 'clique' (Rogers, 1983). In contrast, personal communication networks consist of interlocking interactions related via communication patterns (Rogers, 1983). Personal communication networks However, 'radial private networks' compose individuals who do not share interactions. In addition, radial networks are more open and interact more freely with their environment. These two definitions provide a holistic measure of the spread of information across internal/external aspects of an individual's/organisation's communication network.
OPPORTUNITIES Evaluation of alternatives (i.e. Decision-making processes)	The second stage of the MOA model is opportunity, which refers to the likelihood of meeting a market need through a combination of resources to deliver competitive consumer value (Ardichvili et al., 2003). In the case of socially responsible investment, this could include evaluating alternatives and assessing the potential impact of different investment options. Evaluating alternatives is a crucial part of the decision-making process and reflects the preparation and decisions consumers use to engage in behavior change. The two outcomes of decision-making are the adoption and rejection of an idea. Adoption leads to later adoption during implementation, while rejection results in continued refusal.
ABILITY / ACTION Purchase decision (i.e. Implementation) Post-Purchase evaluation (i.e. Confirmation)	The final stage of the MOA model is action or ability, which refers to the actual behavior change the customer chooses to adopt and implement. The actions taken at this stage help shape the post-purchase evaluation. Two factors influence post-purchase decisions after engaging in behavioral change. First, maintenance is closely associated with the time spent engaging in the behavior change. Second, confirmation refers to when individuals seek reinforcement of their decision. However, upon reflection, the individual may reverse their decision if given conflicting messages about the product.

Appendix 4:

[\[Return to 2.1\]](#)

Table 4: The B2B Elements of Value Pyramid

CUSTOMERS	NOTES
SOCIAL IMPACT	The [Company] showcases social impact value by promoting and creating a positive impact on society and the environment. This is demonstrated through the [Company]'s commitment to sustainability, corporate social responsibility, and the promotion of social causes, which are integral to its mission and vision
LIFE-CHANGING	In addition, the [Company] offers life-changing value by addressing a social issue that has a significant impact on the lives of its target market. This can be seen through the positive changes and improvements in the lives of the end consumers, who have been positively impacted by the [Company]'s products or services.
EMOTIONAL	The [Company] also demonstrates emotional value by creating a strong connection with its target market through storytelling and personalization of its products or services. Consumers feel a sense of purpose and fulfillment when supporting the [Company]'s mission and vision.
FUNCTIONAL	This [Company] exemplifies functional value by providing a unique and innovative solution to a specific social issue. This solution not only addresses the problem effectively, but also saves time and resources for the end consumer. Example: In the context of the 'digital economy' and public financial markets, acquiring knowledge increases the likelihood of selecting an empirically-based decision that maximises utility, and subjective probability, minimises ambiguity and obtains the highest expected reward (Shen et al., 2014).

Appendix 5:

[\[Return to 2.1.3.2\]](#)

Table 6: Climate / Environment

CLIMATE / ENVIRONMENT	NOTES
DEMOGRAPHIC	The Motivation Opportunity Action (MOA) model is a customer-centric approach that aims to understand the underlying motivations, opportunities, and actions of a target market. In the context of the social innovation [Company] that I have been provided information on earlier, the demographic and psychographic information provided will be used as inputs for the MOA model (Rogers, 1983). Demographic variables Demographic information such as age, gender, income, and education level can be used to identify the core characteristics of the target market. For example, if the [Company] is targeting young adults aged 18-35 with a moderate income, this would be considered a specific demographic segment. Psychographic variables Psychographic information such as values, interests, and lifestyle choices can also be used to understand the target market's motivations and priorities. For example, if the [Company] is targeting individuals who are environmentally conscious and are interested in sustainable living, this would be considered a specific psychographic segment.

	Using a systems-based approach, the demographic and psychographic information will be used to form the target market analysis. This approach considers the target market as a system of interrelated factors that influence behaviour, rather than as a collection of isolated characteristics. By considering the target market as a system, the [Company] can identify key motivators and opportunities that align with their product or service. For example, the [Company] may identify that their target market is motivated by a desire to reduce their environmental footprint and is looking for sustainable living solutions. This information can be used to develop a marketing strategy that emphasises the environmental benefits of the [Company]'s product or service, and positions it as a solution for sustainable living. In summary, the target market analysis for the social innovation [Company] will be based on a systems-based approach that uses demographic and psychographic information as inputs for the MOA model. This approach will allow the [Company] to identify key motivators and opportunities that align with their product or service, and develop a marketing.
ECONOMIC FACTORS	According to the (Australian Bureau of Statistics, 2022), 3 in 4 (75%) of Australian households had debt in 2019-2020, with 30% of households servicing a total debt 3+ times their annual disposable income, a significant increase from 24% in 2010. Further, when families were divided into five groups representing the distribution of wealth, the lowest income quintile received 7.4% of the total national income compared to the highest quartile, which received 40% of the total national income. Finally, the highest quintile of wealth owned 63% of real Australian household wealth in 2020, unchanged from 2018. In comparison, the lowest wealth quintile owned less than 1% of all household wealth. This indicates that the distribution of wealth is less equal than income distribution (Australian Bureau of Statistics, 2022). Lastly, the European Commission 2020 target aims to have 20 million fewer people at risk of poverty or social exclusion (Commission et al., 2013). According to
SOCIAL & CULTURAL	The current political and economic context is favourable for the growth of SRI. The increasing awareness of the impact of climate change and growing concern about social issues such as inequality and poverty have led to increased demand for SRI products. Additionally, the low-interest rate environment has led to increased demand for alternative investments such as SRI.
REGULATIONS, GOVERNMENT OVERSIGHT & LEGAL	Social marketing may direct social capital toward opportunities to exert a greater social pressure towards policymakers and government legislators (i.e. improved transparency and regulation around providing more free-market knowledge to financially illiterate consumers) (Andreasen, 2002). Recently, the European Union 2020 Strategy targeted five objectives critical to assisting hybrid organisational models in supporting an innovative, inclusive and sustainable economy (Commission et al., 2013). First, they aim to reduce greenhouse gas emissions targets 20-30% lower than 1990 carbon emissions by deriving 20% renewable energy for a subsequent 20% increase in economic GDP efficiency (Commission et al., 2013). Second, European Union aims to fully employ 75% of 20 – 64-year-olds (Commission et al., 2013). Finally, their main priority is to establish the foundation for a Social Stock Exchange developed in Europe to allow social equity trading (Commission et al., 2013).
TECHNOLOGY	The technology section of this market situation analysis for the [Company] in question will focus on the current state of technology in the industry, as well as any relevant trends or developments that may have an impact on the [Company]'s operations. In particular, management will be looking at the following areas:

	• Current technology: This includes the types of technology currently being used in the industry, as well as any major players or companies that are driving technological advancements. • Technology trends: Management will be analysing any emerging technologies or trends that are likely to have an impact on the industry in the near future, such as advancements in artificial intelligence, the Internet of Things, or 5G networks. • Competitors' technology: Management will be analysing the technology being used by the [Company]'s main competitors, as well as any technological advantages or disadvantages that the [Company] may have compared to its rivals. • Impact on operations: Management will be looking at how the [Company]'s current technology and any upcoming technological developments may impact its operations and overall performance. • Investment: Management will be evaluating the [Company]'s current level of investment in technology and the potential need for further investment in the future. • Regulation: Management will be assessing any potential regulatory challenges or opportunities that the [Company] may face related to technology. In summary, the technology section of the market situation analysis will provide a comprehensive overview of the technological landscape in the industry and its potential impact on the [Company]'s operations. It will also provide insight into the [Company]'s competitiveness in terms of technology and any potential areas where it may need to invest further in order to remain competitive.
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Appendix 6:

[\[Return to 2.1.1\]](#)

Table 7: Internal influences on the [Company]'s marketing strategy

INTERNAL FACTORS	
COMPANY	NOTES
BUSINESS MODEL	The target consumer for the [Company] is socially conscious individuals and institutions that are looking to align their investments with their values. The company's target market is primarily made up of millennials and younger generations, who are more likely to be concerned about the social and environmental impact of their investments. The market situation analysis of the socially responsible investment firm shows a strong and growing demand for sustainable and responsible investments. The firm has a clear and distinct value proposition, targeting socially conscious investors who are willing to sacrifice some financial returns for the sake of a better social and environmental impact. The firm's target market can be segmented into three main groups: individual investors, institutional investors, and impact investors. Each of these segments has its own specific needs and preferences, which the firm can address through its tailored investment strategies. The firm's 7Cs analysis revealed a strong commitment to social and environmental responsibility, with a clear and distinct value proposition, effective communication channels, and a positive reputation among stakeholders. However, there is room for

	improvement in terms of collaboration and community building, as well as in the measurement and reporting of the firm's impact. To capitalize on the growing demand for sustainable and responsible investments, the firm should focus on building strategic partnerships and collaborations with key stakeholders, such as NGOs and other impact-focused organizations. Furthermore, the firm should continue to develop and improve its impact measurement and reporting systems to better communicate its impact to its target market. In summary, the market situation analysis of the socially responsible investment firm highlights a strong demand for sustainable and responsible investments, a clear and distinct value proposition, and a commitment to social and environmental responsibility. The firm has the potential to capitalize on this growing market by building strategic partnerships, improving impact measurement and reporting, and continuing to communicate its value proposition effectively to its target market
GOALS & OBJECTIVES	The Goals and Objectives section of the [Company] found in the 7C social marketing analysis takes into account the various mechanisms that underpin the [Company]'s operations. The primary goal is to engage in disruptive innovation, specifically in the areas of digitisation and automation, with a focus on decarbonising the global market economy in the Australian share market. The [Company] aims to do this by utilising a knowledge-based value-chain approach. The [Company] also places a strong emphasis on behaviour change and has specific, measurable behavioural objectives. By utilising Mazur's (2017) 'simple systems' strategy and the two critical habituation principles of stimulus intensity and stimulus generalisation, the [Company] aims to improve perception and cognitive ability, thus explaining capitalist market behaviours underpinned by the opponent-process theory of motivation (Rankin et al., 2009; Solomon and Corbit, 1974). Additionally, the [Company]'s interventions are based on the understanding of consumer experiences, values, and needs, which were identified through formal research and pre-tested with the target group. The [Company]'s targeting and segmentation principles are also a key aspect of the Goals and Objectives section. Different segmentation variables are considered when selecting the target intervention group, and the intervention strategy is tailored to the selected segments. The [Company]'s interventions also consider the motivational exchange theory, which focuses on what will motivate people to voluntarily engage with an intervention that offers them something beneficial in return. In summary, the [Company]'s Goals and Objectives section is focused on utilising a knowledge-based value-chain approach to engage in disruptive innovation in the areas of digitisation and automation, with a specific focus on decarbonising the global market economy in the Australian share market. The [Company]'s interventions also place a strong emphasis on behaviour change and target specific segments with tailored strategies that consider the motivational exchange theory. The MOA model, with its components of Motivation, Opportunity, and Ability, will guide the [Company] in achieving these objectives.
COMPETITIVE STRATEGY	The competitive strategy of the [Company] will be underpinned by a social innovation approach, which aims to identify and capitalise on new business opportunities that emerge from the transition towards the fourth industrial era, specifically the decarbonisation of the global market economy. To achieve this, the [Company] will focus on several key principles. Firstly, the [Company] will employ a knowledge-based value-chain, which will allow it to engage in disruptive innovation, and identify, explore and capitalise on the diverse business opportunities that are emerging from digitisation and automation.

	Secondly, the [Company] will use Fama's (1970) Opponent-Process theory to support the Efficient Market Hypothesis, which states that market security prices reflect an equilibrium of all tradable information on historical prices, publicly known information and access to a monopoly of knowledge. By doing so, the [Company] will generate a risk-sensitive heuristic (i.e. behavioural momentum, Nevin and Grace (2000)), which will result in a greater likelihood of selecting an empirically-based decision that maximises utility, subjective probability, minimises ambiguity and obtains the highest expected reward (Shen et al., 2014). Thirdly, the [Company] will focus on change agent relationships, which are positively related to higher social status, greater social participation, higher educational achievement and altruistic tendencies among clients. This will enable the [Company] to create a strong network of support and gain access to valuable knowledge and resources. Finally, the [Company] will use the principles of the Motivation-Opportunity-Ability model to guide its social innovation strategy. The [Company] will focus on providing the necessary motivation for individuals to engage with its interventions, creating opportunities for them to do so, and ensuring that they have the ability to take advantage of those opportunities. In summary, the [Company] will employ a social innovation approach that is underpinned by a knowledge-based value-chain, the Opponent-Process theory, change agent relationships and the principles of the Motivation-Opportunity-Ability model to gain a competitive edge in the market and encourage altruistic tendencies among clients (Rogers, 1983).
COMPETITIVE ADVANTAGE	The competitive advantage of the [Company] lies in its ability to identify, explore and capitalize on the diverse business opportunities emerging from the transition towards the fourth industrial era: Digitization and Automation, specifically towards the decarbonization of the global market economy currently underway in the Australian share market (Bradley, 2022). The [Company]'s approach is based on a social innovation spiral which focuses on understanding consumer experiences, values, and needs through formal research. This research is then used to tailor the intervention strategy to specific segments of the target group, thus increasing the likelihood of a successful outcome. The [Company]'s competitive edge is further enhanced by its ability to engage in disruptive innovation and change consumer behaviour through the use of the Motivation-Opportunity-Ability (MOA) model. This model takes into account the principles of the opponent-process theory of motivation, the law of effect, and the behavioural momentum principle. This allows the [Company] to create interventions that are tailored to the specific needs of the target group and offer them something beneficial in return. Additionally, the [Company]'s competitive advantage is in its ability to establish change agent relationships which are positively related to higher social status, greater social participation, higher educational achievement, and altruistic tendencies among clients (Rogers, 1983). This allows the [Company] to reach a wider audience and create a more impactful intervention. Overall, the [Company]'s competitive advantage lies in its ability to stay ahead of industry trends and adapt to the ever-changing market landscape. It is able to identify new opportunities and create effective interventions that drive positive change in the

	communities it serves. The [Company]'s ability to create and sustain these advantages is key to its success in the social marketing sphere (Medlin, 2001).
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Appendix 7:

[\[Return to 2.1.3.4\]](#)

Table 8: Collaborators and Contributors

COLLABORATORS	NOTES
PEER NETWORKS	Collaboration between consumers through the four communication channels (i.e. knowledge, persuasion, decision and implementation stage) can be used to facilitate the diffusion of knowledge about the [Company]'s socially responsible investment strategies. This can be done through online communities, social media, in-person networking events, and other forms of communication. By building relationships with peers who are also interested in socially responsible investing, consumers can share information and resources, and provide support for one another as they navigate the investment process. This can help to increase awareness and understanding of the [Company]'s offerings, and can ultimately lead to greater adoption of its socially responsible investment strategies (Rogers, 1983).
DISTRIBUTORS	Change agents can help others with components of emotional intelligence, such as self-awareness and self-regulation. The [Company] works closely with change agents such as financial advisors, who play a key role in the diffusion of innovation by providing guidance and support to consumers in the decision-making process. These change agents are trained to understand the systems approach of the [Company] and are equipped with the necessary skills and knowledge to assist consumers in making informed decisions about socially responsible investing.
ALLIANCES & PARTNERS	Currently, the [Company] does not have any formal alliances or partnerships. However, it is always open to exploring new opportunities for collaboration and partnerships with organizations that share its values and mission of promoting socially responsible investing. In the future, such partnerships could potentially provide additional resources and expertise to support the [Company]'s growth and impact.

Appendix 8:

[\[Return to 2.1.3.5\]](#)

Table 9: Competitors

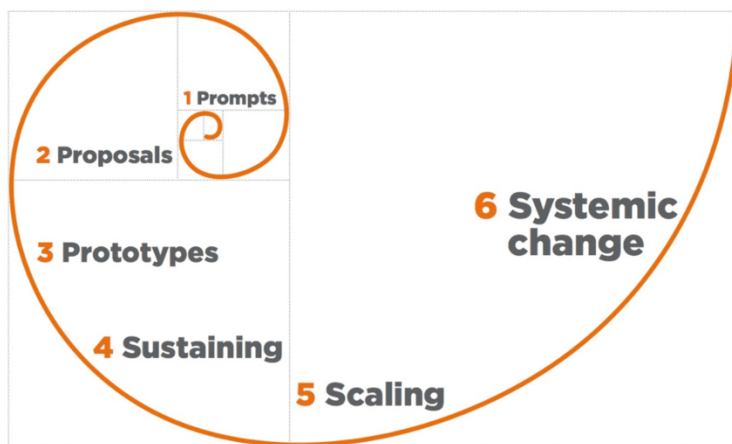
COMPETITORS	NOTES
CURRENT & PROSPECTIVE	The [Company] operates in the socially responsible investing space and as such, their main competitors are other socially responsible investment funds, such as Calvert Investments, Pax World Funds, and Domini Social Investments. The [Company] also competes with traditional investment funds that have incorporated socially responsible investing principles into their investment strategies. Prospective competitors include new entrants to the socially responsible investing market, as well as traditional investment funds that may increase their focus on socially responsible investing.
STRENGTHS & WEAKNESSES	The [Company]'s strength lies in its deep understanding of the socially responsible investing market and its commitment to aligning its investment strategies with its values. The [Company] has a long-standing reputation in the market, which can be seen as a strength. Its weakness could be its lack of diversification in the investment portfolio.
OPPORTUNITIES & THREATS	The socially responsible investing market is growing, providing the [Company] with an opportunity to expand its market share. The increasing awareness and interest in sustainable and socially responsible investing among investors presents the [Company] with an opportunity to attract new clients. A potential threat to the

	[Company] is the increased competition in the market as more traditional investment funds incorporate socially responsible investing principles into their investment strategies. i.
PRODUCTS & MARKET SHARE	The [Company] offers a range of socially responsible investment products including mutual funds, exchange-traded funds, and individual stocks. The [Company]'s market share in the socially responsible investing market is relatively small compared to its competitors like Calvert Investments, Pax World Funds, and Domini Social Investments. However, the [Company] has a niche market and it focuses on specific sectors that align with its values and mission.

Appendix 9:

[\[Return to Market Segmentation analysis\]](#)

Figure 1: A Spiral model of Social Innovation.



Note: Adapted from The Spiral model of Social Innovation and Entrepreneurship (Murray et al., 2010).